

“Marketing and Business Development Basics”

August 2000

Aberdeen Group
Boston • Palo Alto • Amsterdam
www.aberdeen.com

Four Key Objectives

- **Instill in you the confidence to communicate to prospects that you have a unique value to add to their success**
- **Understand the mechanics and dynamics of the business development process**
- **Rehearse in the privacy of your peers what you will need to say to prospects**
- **Review the marketing and business development resources available to you at Aberdeen**

Agenda

- **Professional services and trust**
- **Suppliers' common issues during their product life cycles**
- **Developing business through a supplier-initiated meeting**
- **Establishing your client base**
- **Role playing: verbally proposing a project to the group**
- **Aberdeen's written proposals**
- **Tips on building client relationships**

The Professional Services Business

- **Accountants, architects, doctors, insurance brokers, lawyers, plumbers, undertakers, and *all* Aberdeen employees are in the Professional Services Business**
 - **This means every one of us must make a favorable impression on clients and prospects at all times**
 - **Because everybody is selling Aberdeen services at all times!**

The Professional Services Business (continued)

- Clients hire us on trust — they have to trust that we can help them better than any other organization**
 - Why trust? They never get to see our results until after a project is complete.**

Prospects Buy Trust

- Before engaging Aberdeen for significant projects, trust must be established between *you* and your prospect
 - Merely being a member of the Aberdeen organization starts the trust building process
 - Reviewing what you have published creates tangible evidence that you can be trusted
 - You are not merely “shooting from the lip” just to finesse a prospective client in a sales meeting
 - A successful “first date” project — such as preparing a Profile or giving a speech — can then build the trust necessary to move to the next level of the client-analyst business relationship

The Implications of Trust Building

- **Trust takes time to build**
- **Trust means you must always be honest and objective**
 - **Telling a client “You are the best” may be the easy route in the short term but if its market share declines, you have broken the trust**
- **Trust means listening and asking questions — not jumping to conclusions and dictating recommendations**
- **Trust means doing what you say you will do — and quickly disclosing what Aberdeen cannot do**

The Implications of Trust Building (continued)

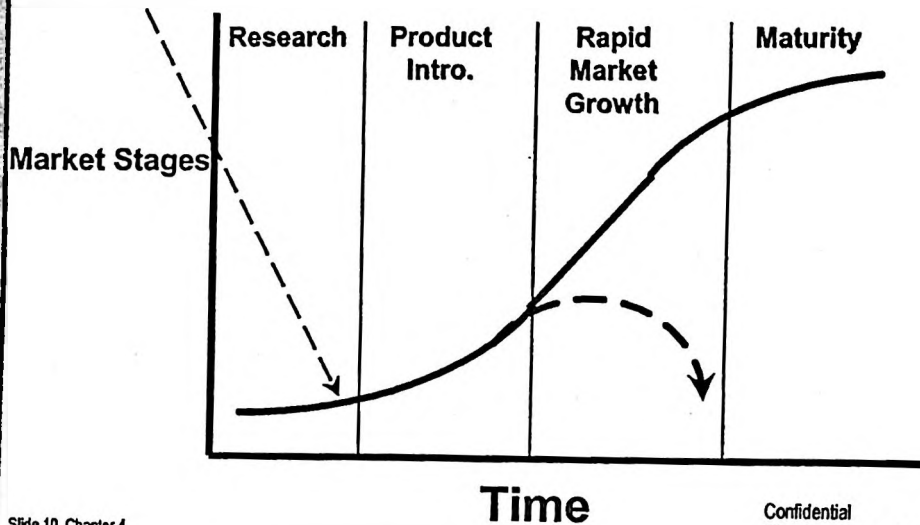
- **Trust means respecting your client and its confidences as your client respects you**
 - **This means not breaking the trust of others. Clients do not respect you and will not trust you in the future if you break another firm's NDA (non-disclosure agreement) — even in your enthusiasm to help your client.**

Why Clients Want A Relationship With Aberdeen

- **Suppliers really do not know what the strategic questions and dynamics of the marketplace are today and will be in the future, and they must know to be successful**
 - **This is why your Practice Reports are critical — they demonstrate that you do know**
 - **Practice Reports are designed to quickly build trust between you and your prospect**
- **Clients need knowledgeable, objective, non-political, real-time input to their key investment and marketing decisions**
 - **And each Aberdeen client has issues that are unique to it at any point of time**

Key Client Questions For Aberdeen

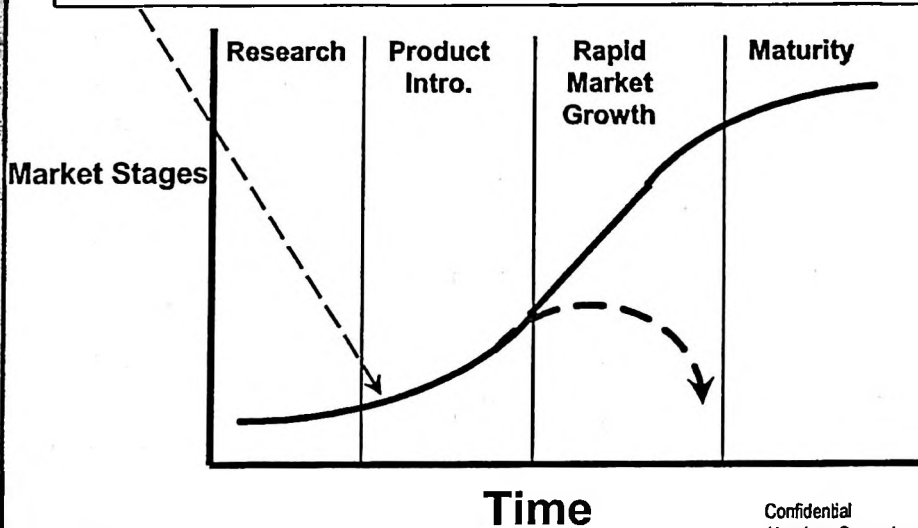
“What functionality, distribution channels and other attributes (such as pricing) must our product have to be successful? What market segments should we target?”



Key Client Questions

For Aberdeen (continued)

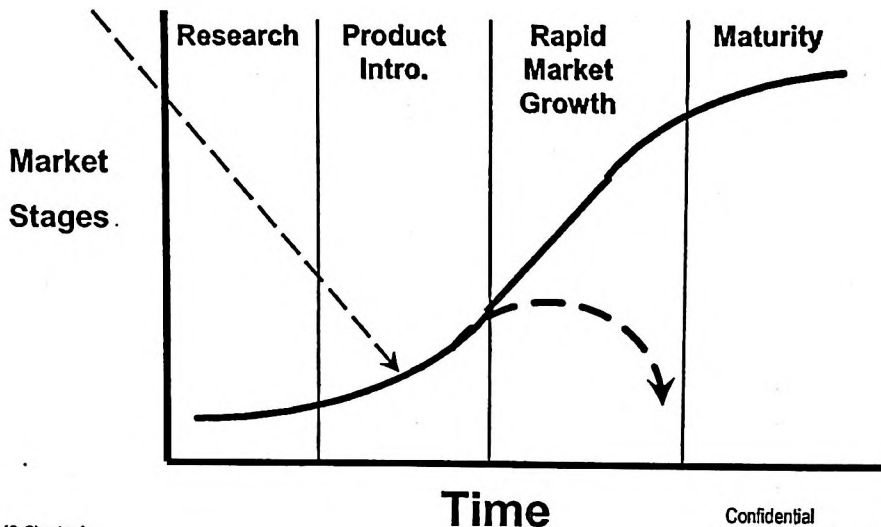
“How can Aberdeen better educate the market about the value and advantages our products and services provide users? With whom should we partner?”



Key Client Questions

For Aberdeen (continued)

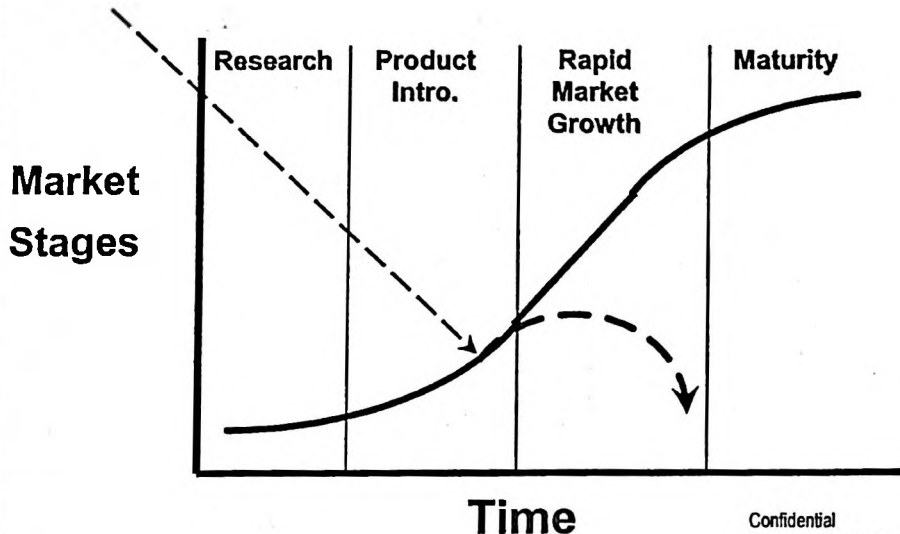
“We have heard the initial market response to our value proposition. Could Aberdeen tell us what it really means and where we should invest our resources for success?”



Key Client Questions

For Aberdeen (continued)

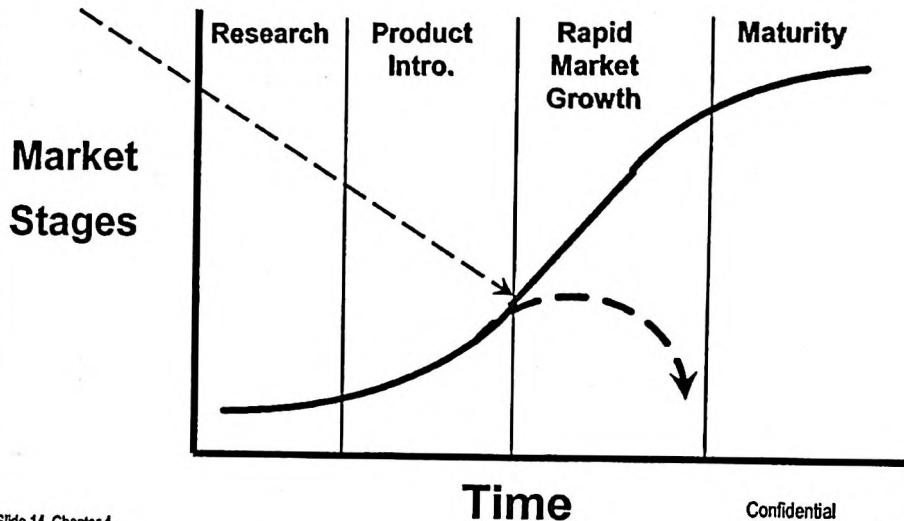
“What factors are stopping prospective buyers from acquiring products from us? How can we ‘cross the chasm’?”



Key Client Questions

For Aberdeen (continued)

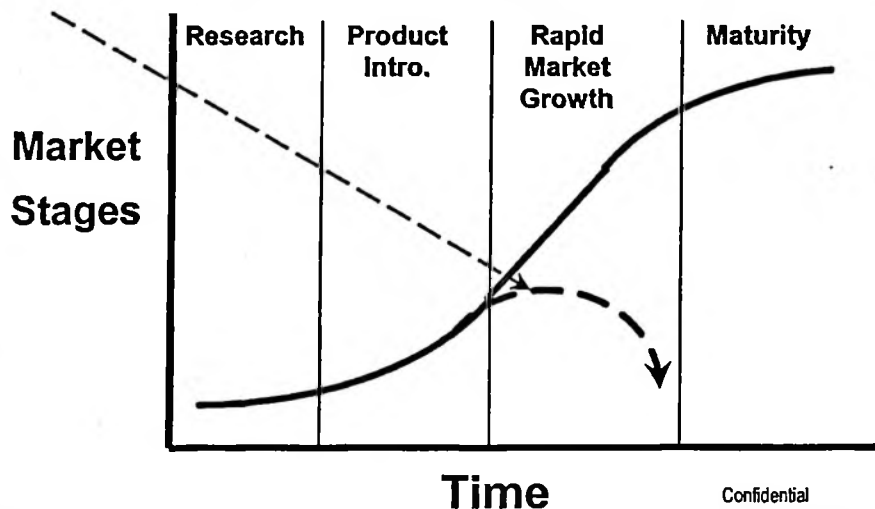
“How can we differentiate our products and services from the competition in such a way that the majority of IS decision makers will see us as the ‘safe’ choice for the future?”



Key Client Questions

For Aberdeen (continued)

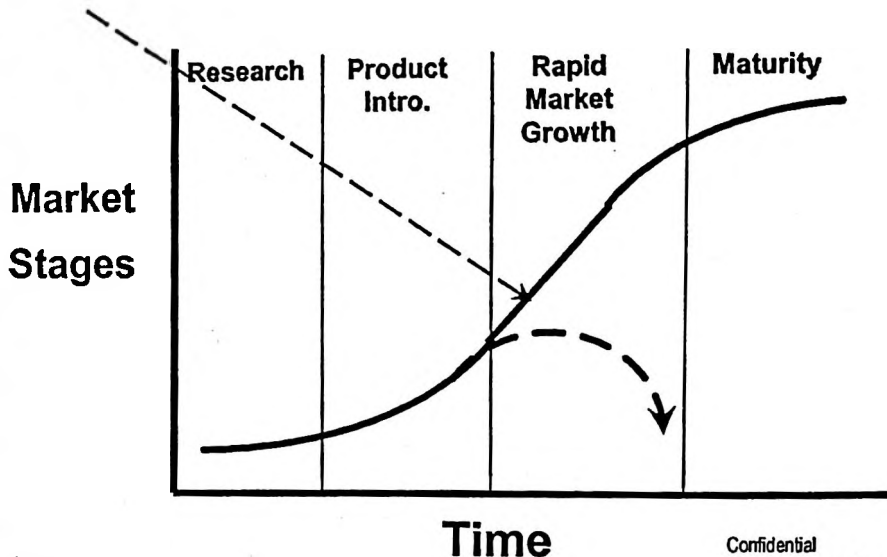
“What should we do to rebuild momentum? And if we cannot rebuild momentum, how can we best extend our product’s life while using our key assets to enter new, high growth markets?”



Key Client Questions

For Aberdeen (continued)

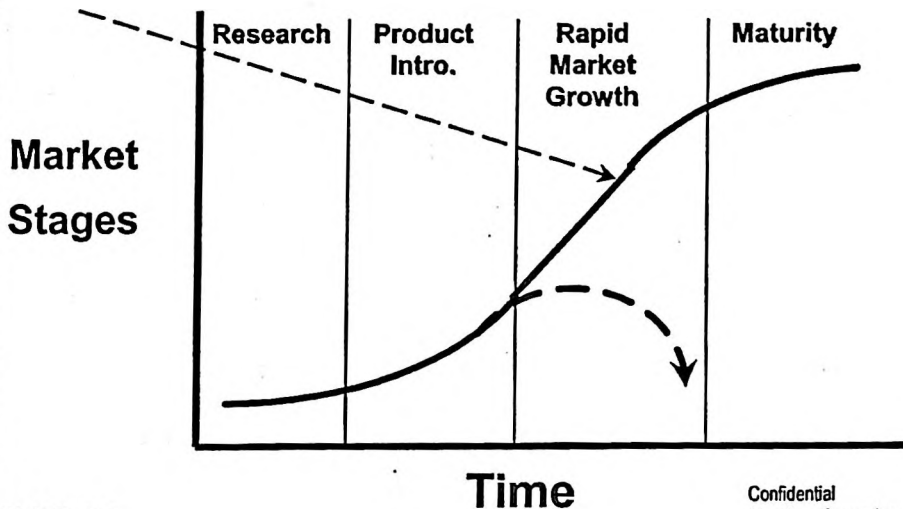
"How does our firm become or remain #1 in our market place?"



Key Client Questions

For Aberdeen (continued)

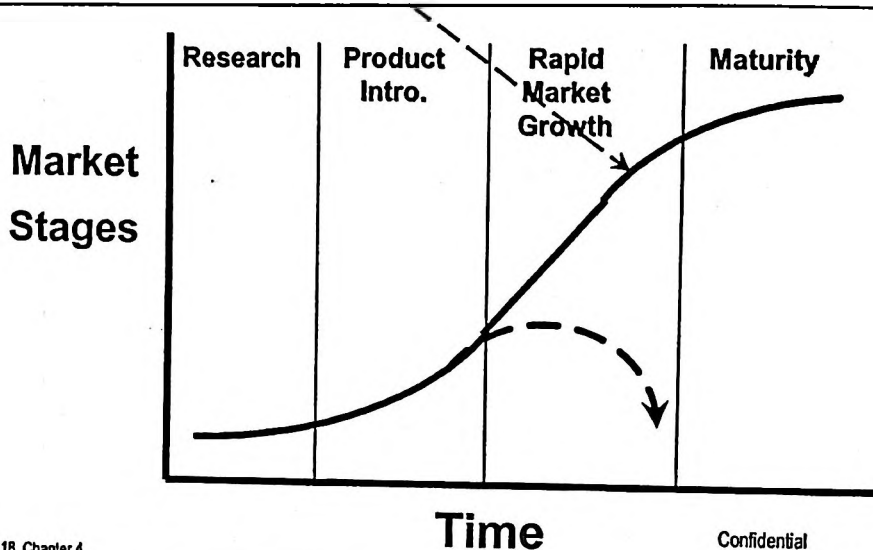
“What additional products, services, distribution channels, target markets, etc. should we add to further fuel our growth rates and outflank the competition? Who should we consider acquiring?”



Key Client Questions

For Aberdeen (continued)

“How do we maintain the loyalty of our installed base and hold off competition from alternative technologies?”

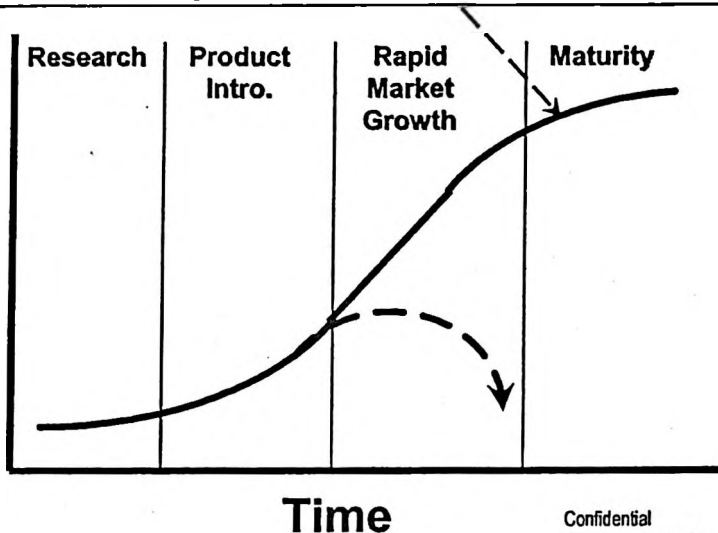


Key Client Questions

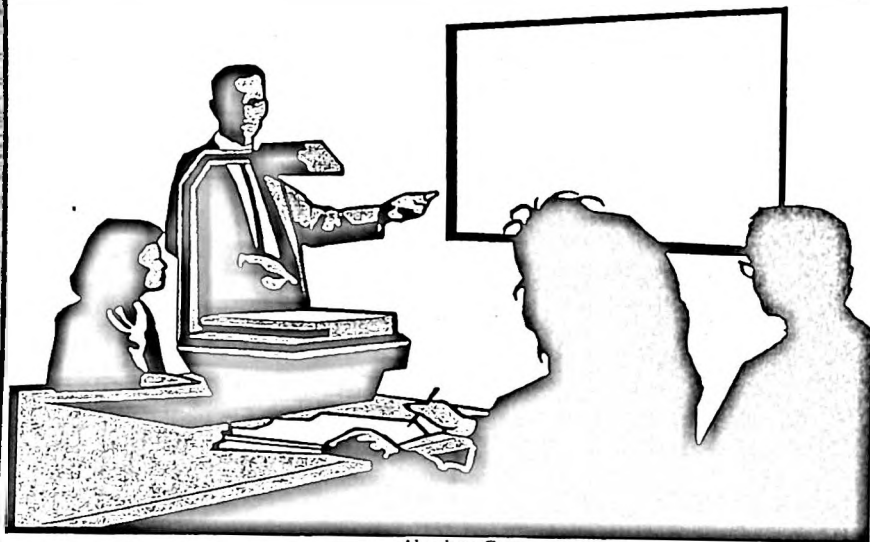
For Aberdeen (continued)

“How do we motivate our installed base to continue to invest in our products to maximize the return on their past investments?”

**Market
Stages**



New Analyst-New Supplier Business Development



Aberdeen Group
Boston • Palo Alto • Amsterdam
www.aberdeen.com

Meeting and Closing Business For The First Time

- **This can be a stomach-churning moment for both new analysts and the supplier's representative — so take a deep breath until you become comfortable**
 - **The key concept to continuously keep in mind is that if you can add value and help the supplier become successful, the prospect-supplier really *wants* to know how to do business with Aberdeen**
 - **The most critical complaint about Aberdeen from suppliers is they find it difficult to know how to do business with us!**

Starting the Business Development Process

- The business development process starts with your verbal introduction of Aberdeen and your practice area to a prospective client
 - Show Time — Please present to the class!
 - Analysts: Aberdeen and your practice areas
 - All others: Aberdeen and your responsibilities



Demonstrating Your Expertise Without Being Confrontational

- **Based on the company's Product Life Cycle stage, your knowledge of the current industry dynamics (buyer preferences and competitive positioning), and the strengths and weaknesses you see in the supplier's offering, ask questions to learn more about how the supplier will build on its strengths and minimize its weaknesses**

Demonstrating Your Expertise Without Being Confrontational (continued)

- **Asking questions about critical aspects of the product offering that allow the prospect to more fully explain its strategy shows maturity and is more effective than giving instant analysis**
 - **Demonstrates you know the critical areas in which the supplier must be successful and you want to learn more — continues the trust building**
 - **Gives you an opportunity to more carefully evaluate the potential for success of the supplier's strategy**

The Power of Optimism

- Based upon your meeting, are you optimistic that the supplier and its product and services will be successful or have a notable impact in the target market?
 - If not, and if you have never worked with this company before, the odds are very slim that the firm will engage Aberdeen to tell it what it is doing wrong at the end of this meeting
 - And you should not write a Profile on a product that is inappropriate for the market it is targeting merely to gain short-term revenues

The Power of Optimism (continued)

- If you are optimistic, say why you are and describe both the benefits you see for prospective acquirers of the product and hurdles you believe the company will need to overcome to achieve its objectives**
 - The structure is now in place to turn the prospect into a client**

How Successful Analysts Close At Supplier-initiated Meetings

- **The business development question for you is whether to close with a proposal for a Profile, RAMP, Personal Retainer Service, or a combination — and in what order**
 - **If you wish to do business with the supplier at some time — now or in the future — you should close every supplier-initiated meeting with at least one of these offerings!**

How Successful Analysts Close At Supplier-initiated Meetings — Profile

- If you are optimistic about the product, especially if it is about to be announced in the near future:

“Aberdeen can help leverage your marketing messages through an independent perspective in the form of a Profile. However, it will take me several days to interview your technical team, successful users, and develop the content in such a way that is most meaningful for IS decision makers to understand both your offering and its uniqueness in the marketplace. Our fee for this effort is approximately \$15,000. If you would like to further distribute Aberdeen’s findings, reprints and web rights are available based upon our standard price list. If the findings of this research effort are contrary to your expectations, there is no requirement on our part or yours to publish them — but you will at least have the benefit of obtaining the least expensive research-based consulting report possible objectively assessing your current position in the marketplace. May I send you a proposal?”

How Successful Analysts Close At Supplier-initiated Meetings — Personal Retainer

- **If you sense that the supplier wants access to Aberdeen's on-going research:**

"Aberdeen does not churn out paper like other market research firms — our continuous advisory offering to suppliers such as yourself is a consulting retainer service. We believe it is most important to meet your specific needs for critical market information when you need it. For \$15,000 a year we deliver our on-going business-driven technology assessment services in the form of 2 consulting days by an Aberdeen analyst at your site, quarterly telephone updates from us, telephone inquiries from you on key issues that will arise during the course of the year, and all the publications our practice area produces — including our Practice Report, Profiles, Viewpoints, and Impacts. May I send you a proposal and ask our sales organization to follow-up with you?"

How Successful Analysts Close At Supplier-initiated Meetings — RAMP

- If you believe the supplier does not know what it does not know (especially about a new market for it), suggest a RAMP on the subject:

"I honestly believe that you are misunderstanding how real IS decision makers in your target market view this issue and your company's current offerings. Aberdeen has helped many clients sort through the chaff to find the wheat in these situations — to determine what potential buyers are really going to do as opposed to what they say to the press they may do. In our RAMP (Rapid Accurate Market Positioning) service, our experienced analysts will interview your highest potential prospects at their sites, typically during 1 1/2 hour sessions, and analyze the results in such a way as to develop actionable recommendations you may wish to consider. We can typically have initial findings 30 days after the start of the project and complete it within 60. The cost is between \$60,000 and \$100,000 depending upon the breadth of interviews required. Would you be interested in discussing this further?"

Your Supporting Resources For Closure

- **First — and most important — are the publications you have already written**
 - **These are the basis for your credibility — they show how you can add value by describing the key market dynamics in a way that IT decision makers can understand**
- **Proposal templates available on Aberdeen1**
- **Aberdeen's sales force can act as an intermediary between you and the prospect**

Your Supporting Resources For Closure

(continued)

- **Senior Aberdeen managers can tell you which actions to take — including when to walk**
- **The telephone — follow-up calls by you require a responsive action on the part of the prospect**

Developing Your Business At Aberdeen



Aberdeen Group
Boston • Palo Alto • Amsterdam
www.aberdeen.com

It's A Numbers Game — and That Takes Time And Publishing

- **The more suppliers you meet with, the more projects you will obtain**
- **The more Aberdeen publications you author, the more projects you will obtain**
- **The more quotes in the media attributable to you, the more projects you will obtain**
- **The more speeches you give, the more projects you will obtain**

It's A Numbers Game — and That Takes Time And Publishing (continued)

- **The more articles you write for trade or business publications, the more projects you will obtain**
- **The effect is cumulative — start early and often**

The Successful Numbers Model

- **For each supplier you are working with in your practice area:**
 - **Year 1**
 - **A Profile with web rights — \$25K**
 - **Year 2**
 - **Analysts Plus Service, a Profile, Professional services assignment (i.e. Speaking Tour) — \$65K**
 - **Year 3**
 - **Personal Retainer Service, two Profiles, a Major professional services assignment (i.e. RAMP) — \$120K**

Aberdeen History: Business Development (1988-1994)

- **Return press calls on Wednesday afternoon and Thursday mornings**
- **Prepare three Viewpoints on the market dynamics of distributed computing**
- **Mail Viewpoints with a cover letter to the 650 most influential user and supplier executives on a six-week cycle**
- **Answer prospect calls generated by the mailing from 3PM-6PM on Friday**

Aberdeen History: Business Development (1988-1994) (continued)

- **To Close:**
 - **Commit to fixed prices on the phone to do projects with a promise to fax the requisite "Proposal" for administrative sign-off by the middle of the next week**

And Business Planning Is Key

- **After you get your feet on the ground at Aberdeen:**
 - **Identify the key areas of *change* in your practice area — and then focus your research, publications, and messages around your analysis of how businesses can benefit from these changes**
 - **Build upon your analytical and communication strengths while drawing from your experience and background**
 - **You must show vision and take strong stands to build your business!**

And Business Planning Is Key (continued)

- Identify the suppliers in your practice area and contact each for information for your research. Make sure the industry consulting or PR organization knows who you are and the areas you are focusing on**
 - If you are new to the practice area, a web-based search of publications is a great start to both identify suppliers you may not be familiar with and update you on what the industry buzz is about those suppliers you know**

And Business Planning Is Key (continued)

- **Now start tracking your numbers on a weekly basis:**
 - **How many publications have you produced to date?**
 - **How many suppliers have you talked to?**
 - **Which ones should you follow-up with next week?**
 - **How many prospects have you sent proposals to?**
 - **What is the likelihood of those proposals being accepted?**

And Business Planning Is Key (continued)

- **What is the revenue stream of the projects you are working on?**
 - **When do you expect that revenue will be received by Aberdeen?**
- **Discipline to the numbers is key for success!**

Individual Business Planning

- **Four categories**
 - **Proposals/Prospects — 90 days +**
 - **Work in Progress — 45 - 90 days**
 - **Invoices Out — 0 - 45 days**
 - **\$ Received — Current**
- **Ratio for \$200K target — at beginning of each quarter:**
 - **Proposals = \$55K - 75K**
 - **WIP = \$35K**
 - **Invoices = \$35K**
 - **\$ Received = \$0 (Fills in as Quarter progresses)**

Verbal Proposal Time

- **Analysts please:**
 - Describe a supplier you have recently met with
 - Describe its messages to you
 - Tell us your analysis of the situation
 - Pretend the group is the supplier's executives and propose an Aberdeen service to us



Written Proposals

- **Required to meet most suppliers' administrative requirement**
 - Even though most projects are proposed and closed verbally
- **Will be distributed to decision makers for sign-off**
 - Puts in writing what was discussed verbally to minimize disagreements later on
 - Allows you to show your expertise in the proposed project area
 - Provides a concrete project plan

Written Proposals (continued)

- **Establishes the business Terms and Conditions (T&Cs) of the project engagement**
- **Different for each service Aberdeen offers**

The Structure of Aberdeen's Proposal Style From Which Modifications Are Made



Aberdeen Group
Boston • Palo Alto • Amsterdam
www.aberdeen.com

Anatomy of An Aberdeen Written Proposal

- **A personal cover letter between you and your client contact**
- **The formal proposed agreement between Aberdeen and the prospect enterprise (Addressee may be different than for cover letter)**
 - **Introduction**
 - **Background**
 - **Proposed Scope of Work and Objectives**
 - **Work Tasks**
 - **Cost and Duration**

Anatomy of An Aberdeen Written Proposal (continued)

- General Provisions**
- Staff Responsibility**
- Acceptance**
- Appendix A: Aberdeen Group Overview**
- Appendix B: Resumes of Aberdeen staff who will be working on the project**

The Cover Letter

- Format: "Dear Pat, ... Sincerely, Jean"
- Approximately three paragraphs reviewing why you are excited about working on the project and when you hope to start
 - You may want to add how you think the client contact will benefit personally from the proposed project
- The client contact is expected to remove this cover letter when sending the formal proposal to others for comments and approval — therefore, do not staple it to the formal proposal — it must be separate

Written Proposal: Format

- **Formal business letter format:**
 - **Date**
 - **Addressee — with title**
 - **Address**
 - **Salutation — “Dear Mr./Ms. David A. Lester:”**
 - **Header for pages 2 and beyond:**
 - **Page**
 - **Date**
 - **Addressee — Company**

Written Proposal:

Introduction

- Simply identifies to the unknowledgeable reader what the proposal is about and that you and the client contact have already discussed the possibility of working together
 - The key message is that this is not an unsolicited proposal

"Thank you for providing Aberdeen with the opportunity to propose how we might work with you on the upcoming XYZ project. Based upon our discussion of last week, I have prepared this agreement for your consideration."

Written Proposal: Background

- **3-5 paragraphs**
- **Succinctly describes industry trends and how Aberdeen sees the prospect's position within these trends**
- **Concludes that the prospect "has requested Aberdeen's assistance"**
- **This section allows you to:**
 - **Show your expertise in the area to be worked in**
 - **Make the point to those who have not yet been associated with the proposed work that the prospect really does need Aberdeen's help ASAP**

Written Proposal: Proposed Scope of Work and Objectives

- **Describes what work Aberdeen will perform and what the deliverables resulting from the work effort will be**
- **Typically 3 - 4 paragraphs**

Written Proposal: Work Tasks

- Typically used for multi-staged projects
- Builds on the previous section — often repeats it
- Lists and describes Tasks to be accomplished
 - Task 1 ... Task n
 - Allows Aberdeen to bill the client at the completion of each Task and establishes a guideline for progress payments
- Clearly delineates Aberdeen versus client responsibilities
- Clearly defines Aberdeen's project process and resulting deliverables

Written Proposal: Cost and Duration

- **Professional service fees, reprint prices, and web license fees**
- **Anticipated length of project duration from commencement until when last deliverable will be provided to the client**
- **Expenses are invoiced separately — and Aberdeen takes no markup**
- **Defines a payment schedule if work is to be billed as completed**

Written Proposal:

General Provisions

- **Experience statements — answers questions about hourly rates**
- **Confidentiality statements — establishes our guidelines**
 - **Including that we will not work on projects where there is a potential conflict of interest between two different clients**
- **Copyright and intellectual property ownership assignments**
- **Sign-off provisions for potential publications**
- **Liability limitations**

Written Proposal: Staff Responsibility

- **Clearly states who Aberdeen's project manager will be**
- **Introduces additional Aberdeen staff who may work on the project**
- **Points to resumes in Appendix B**

Written Proposal: Acceptance

- **Clearly states that we will begin work based on verbal approval by the client contact and will patiently wait for a formal Purchase Order**
- **States our expiration date for the proposal — after which we will no longer honor it**
- **Suggests a start date — this gets us from the planning and defining a business relationship stages to the action and revenue generation stages**

Written Proposal:

Acceptance (continued)

- **Signed by Aberdeen Group, Inc.**
 - The name and title of the signer are only indicators of Aberdeen Group's representative responsible for this proposal
- **Accepted by the Client Enterprise**
 - The name and title of the signer are only indicators of the client's representative responsible for this project

Written Proposal:

Appendix A

- **Aberdeen one-page blurb**
 - **The most recent version is available on the server at \\Aberdeen1\Marketing\Blurbs**
 - **Note: Due to historical realities, the blurb often needs to be re-formatted by you to accommodate your printer and current letter template**

Written Proposal:

Appendix B

- **Resumes of Aberdeen staff noted in the body of the proposal**
- **Take standard resumes from Aberdeen server (\\Aberdeen1\\Marketing\\Bios\\) and modify second paragraph to more closely meet the client's needs for the project**
 - **Highlights depth of experience we can bring to the project**
- **Note: More resumes are better than fewer even if all the individuals do not work on the project**

Tips On Business Development at Aberdeen

- **You cannot allow yourself to be discouraged by rejection**
 - **Most unsolicited proposals will not be accepted**
 - **Even prospects that want to work with you may not have the discretionary budget monies to move quickly**
- **If you are not working on a project, you should be writing — the best writing is either communicating a vision of how the market dynamics in your practice area will be evolving or writing a Profile or Impact on spec**

Tips On Business Development at Aberdeen (continued)

- **Communication is key**
 - **Send your publications to the appropriate members of the press, suppliers, and users**
 - **Use Aberdeen's database for names as well as your own rolodex**
 - **The more clearly and often you articulate your messages to prospects, the more likely they are to acquire Aberdeen services**
 - **Talk with other Aberdeen analysts to test and refine your ideas — the more people working on an idea, the higher quality it will be**

Tips On Business Development at Aberdeen (continued)

- **The best prospect is a satisfied client**
 - **A trite expression — but very true**
 - **The better the results of your first project with a new client, the more projects will be sent to you without requests for a proposal**
 - **Follow your satisfied clients from job-to-job**

And In Conclusion

- **Everybody's approach to Business Development and Aberdeen Marketing will be slightly different — because everybody's style is different**
 - **Start with the basics described here to get on track**
 - **It is a numbers game — you cannot sit in your office and just hope that business will develop**
 - **Take chances and actions — it is the only way you will grow**

And In Conclusion (continued)

- **Ask for business**
 - **Potential clients are expecting you to**
 - **It is the only way a business transaction can be started**